

MGT201

Which of the following is the general assumption of Percent of Sales Forecasting?

Current Assets usually grow in proportion to Revenues

Current Assets usually grow in proportion to Expenses

Current Assets usually grow in proportion to Liabilities

Current Assets usually grow in proportion to Sales

In 2 years you are to receive Rs.10,000. If the interest rate were to suddenly decrease, the present value of that future amount to you would _____.

Select correct option:

Fall

Rise

Remain unchanged

Incomplete information

Effective interest rate is different from nominal rate of interest because:

Select correct option:

Nominal interest rate ignores compounding

Nominal interest rate includes frequency of compounding

Periodic interest rate ignores the effect of inflation

All of the given options

What is a legal agreement, also called the deed of trust, between the corporation issuing bonds and the bondholders that establish the terms of the bond issue?

Select correct option:

Indenture

Debenture

Bond

Bond trustee

Which of the following would generally have unlimited liability?

Select correct option:

A limited partner in a partnership

A shareholder in a corporation

The owner of a sole proprietorship

A member in a limited liability company (LLC)

Why we need Capital rationing?

Select correct option:

Because, there are not enough positive NPV projects

Because, companies do not always have access to all of the funds they could make use of

Because, managers find it difficult to decide how to fund projects

Because, banks require very high returns on projects

What is the present value of Rs. 3,500,000 to be paid at the end of 50 years if the correct risk adjusted interest rate is 18%?

Select correct option:

Rs.105,000

Rs.1,500,000

Rs.3975,000

Rs. 350,000

$PV = FV/(1+rn)$

$PV = 3,500,000/(1+.18*50) = 350,000$

When the zero coupon bond approaches to its maturity, the market value of the bond approaches to which of the following?

Select correct option:

Intrinsic value

Book value

Par value

Historic cost

Which of the following would be considered a cash-flow item from an "operating" activity?

Select correct option:

Cash outflow to the government for taxes

Cash outflow to shareholders as dividends

Cash inflow to the firm from selling new common equity shares

Cash outflow to purchase bonds issued by another company

Which of the following refers to the risk associated with interest rate uncertainty?

Select correct option:

Default risk premium

Sovereign Risk Premium

Market risk premium

Maturity risk premium

Which of the following refers to a highly competitive market where good business ideas are taken up immediately?

Select correct option:

Capital market

Efficient market

Money market

Real asset market

What is the most important criteria in capital budgeting?

Select correct option:

Return on investment

Profitability index

Net present value

Pay back period

Which of the following statements (in general) is correct?

Select correct option:

A low receivables turnover is desirable

The lower the total debt-to-equity ratio, the lower the financial risk for a firm

An increase in net profit margin with no change in sales or assets means a weaker ROI

The higher the tax rate for a firm, the lower the interest coverage ratio

What should be the focal point of financial management in a firm?

Select correct option:

The number and types of products or services provided by the firm

The minimization of the amount of taxes paid by the firm

The creation of value for shareholders

The dollars profits earned by the firm

Which one of the following institutions is responsible for registration and licensing of business organizations?

- Federal Bureau of Revenue
- Pakistan Stock Exchange
- Securities & Exchange Commission of Pakistan
- State Bank of Pakistan

With the help of cash budget, a finance manager can estimate:

- All of the given options are correct
- Sources of cash inflows and outflows
- Cash balance surplus or deficit in the future period
- Cash balances at the beginning of a period

Which of the following functions is NOT performed by the State Bank of Pakistan?

- Banker to the government
- Custodian of cash reserves
- Protector of depositor's interest
- Overdraft facility

The property, plant and equipment that come under the head of "capital work in progress" are generally termed as:

- Non-operating capital assets
- Operating capital assets
- Operating current assets
- Non-operating current assets

Financial analysis of a company shows:

- Risk factor is uncertain and cannot be measured
- None of the given option is correct
- Absolute analysis is better than relative analysis
- Comparative analysis can only be done with industry

Which of the functions of financial management pertains to the management of current assets in a business?

- Investment management
- Financial analysis
- Working capital management
- Financing activities

Which one of the following functions is/are performed by the Securities and Exchange Commission of Pakistan?

- Promotes economic growth through investment
- Provides agency and advisory services to the government
- All of the given options are correct
- Protects foreign exchange balances

Which one of the following statements is true in the context of financing activities?

- The fund providers expect a return against the finances provided to a company
- Companies normally go for only long-term financing to run their operations
- Equity and debt financing are of same nature with only time frame differences
- The external and internal sources of financing are mainly provided by the owners of a company

All of the following are included in credit policy of receivable management. EXCEPT:

- Stretching the receivables collection period if payable period is less
- Managing the collection cost of receivables
- Extend the credit period if it promotes sales
- Offering cash discounts for early recovery of receivables

Those institutions are not regulated like banks but provide financial services are called:

- Non-banking financial companies
- Commercial banks
- Federal bureau of revenue
- Development finance institution

Which one of the following is not the type of Development Finance Institution?

- Commercial banks
- Microfinance banks
- Bilateral development institutions
- Credit unions

Federal Bureau of Revenue performs all of the following functions, EXCEPT:

- Controlling money supply in Pakistan
- Levy and collection of direct and indirect taxes
- Acts as appellate tribunal for tax payers
- Designing fiscal policy for Pakistan

All of the following are the credit providers to business organizations, EXCEPT:

- Commercial banks
- Investment banks
- Federal Bureau of Revenue
- Non-banking financial institutions

Which of the following options correctly explains investing activities of a business?

- Buying of bonds and shares from stock market is pertinent to investing activities
- Required rate of return on investments is regardless of cost of financing
- None of the given option is correct
- Investing activities are only concerned with long term investment options

The institution which is involved in collecting taxes, making regulations for taxes and charging duties on the behalf of government of Pakistan is:

- State Bank of Pakistan
- Federal Bureau of Revenue
- Securities and Exchange Commission of Pakistan
- Pakistan Stock Exchange

All of the following statements are the functions of Pakistan Stock Exchange (PSX), EXCEPT:

- PSX provides detailed guidelines for the investors
- PSX controls the financing sources of the companies
- PSX facilitates trading of financial securities
- PSX is responsible for the registration and list of the companies

Which one of the following players is responsible for regulating the business organizations in Pakistan?

- State Bank of Pakistan
- Federal Bureau of Revenue
- Securities and Exchange Commission
- Pakistan Stock Exchange

An organization that provides services such as insurance, leasing, Modaraba, house financing and venture capital is known as:

- International Monetary Fund
- All of the given options are correct
- Stock Exchange
- Non-banking financial company

The function(s) performed by commercial banks includes(s):

- Extending unsecured loans to high-risk borrowers
- Providing financial services limited to lending only
- Facilitating the transfer of funds from one place to another
- All of the given options are correct

An Islamic banking instrument in which one party contributes financially, while the other party participates by skills and effort is called:

- Ijara
- Modaraba

- Murabaha
- Musharaka

Which of the following players in financial environment is responsible for managing supply of money in an economy and acts as an advisor to the Government?

- Securities and Exchange Commission of Pakistan
- State Bank of Pakistan
- Pakistan Stock Exchange
- Federal Bureau of Revenue

The institutions that provide services which may include but not limited to extending loan for social and community benefits, getting involved in joint ventures, providing factoring service and arranging crowd funding are called:

- FBR
- Central banks
- Stock exchange
- Non-banking financial companies

Which one of the following functions is/are performed by the securities and exchange commission of Pakistan?

- Provides agency and advisory services to the government
- Protects foreign exchange balances
- Promotes economic growth through investment
- All of the given options are correct

Which one of the following is not the example of non-banking financial companies?

- None of the given options
- Microloan providers
- Investment companies
- Venture capital companies

An Islamic banking instrument in which one party buys an asset and sells to another party at a higher price, while sale proceeds are received on an installment basis is called:

- Ijara
- Modaraba
- Musharaka
- Murabaha

Which of the following financial management activities is concerned with effective and efficient investment of funds?

- Financing activities
- None of the option is correct
- Investing activities

- Operating activities

Which one of the following is NOT the part of working capital of a business?

- Accounts receivables
- Inventories
- Stores and spares
- Fixed assets

The factor that differentiates the net working capital from gross working capital is:

- Cash and cash equivalent
- Fixed assets
- Current liabilities
- Current assets

Which one of the following statements is NOT true for commercial banks?

- Interest rates charged on lending are generally greater than the rate paid on deposits
- Extend loans for both short term and long-term period
- Channelize funds for depositors to lenders
- Pay lower interest rate on saving account as compared to checking account

Arranging funds from different available sources for smooth operation of a business is linked with:

- Investing activities
- None of the given option
- Financing activities
- Operating activities

The role of financial manager in a business includes:

- Both the given statements are correct
- Deciding the optimal level of inventory to maintain in warehouse
- Maximizing the profit from inventory while minimizing its cost
- None of the given statements is correct

The role of development financial institutions is to provide funds:

- All of the given options are correct
- For non-commercial use
- For the development of emerging economies
- To support economic development of countries

A process through which funds or money can be managed by an organization is best termed as:

- Financial plan
- Funds processing
- Financial management
- Management analysis

One of the disadvantages faced by local banks due to presence of foreign banks in a country is:

- Decreased control of local banks in economy
- Easier access to international capital markets for local banks
- All of the given options
- Provision of diverse financial services in an economy

Which one of the following statements is NOT true in the context of financing activities?

- There is a cost attached to the funds borrowed for financing
- Lenders can only provide internal source of financing
- Companies can go for both equity and debt financing to finance their business
- Funds can be borrowed for both short term and long-term purposes

Which of the following claims about equity financing is correct?

- Profit earned by a business is an internal source of equity financing
- Equity financing can only be obtained through external sources of financing
- Preferred shareholders provide more funds than common shareholders to a business
- Dividend rate for both preferred and common share holder is same

In receivable management of a business, a financial manager has to:

- All of the given options are correct
- Offer cash discounts for early recovery of receivables
- Design a credit policy by comparing time period of receivables and payables
- Extend the credit period to promote sales

_____ is an Islamic form of leasing where an asset is given by a party as a financing to another party and against that fixed amount of rent is charged.

- Ijara
- Modaraba
- Murabaha
- Musharaka

